This type of simulation allows different random variables and probability distributions to be analysed to simulate different scenarios and evaluate potential outcomes.
To use this simulation, follow these steps:

1. Create a financial model in Excel that includes input variables and output metrics.
2. Assign probability distributions to input variables.
3. Use Excel's RAND function to generate random numbers for each input variable.
4. Calculate output metrics based on the random input values.
5. Repeat the calculation process several times to generate a range of potential outcomes.
6. Analyse the range of results to determine the probability and range of potential outcomes.

In addition to these techniques, Excel offers many integrated functions, like *IF, VLOOKUP,* and *SUMIF*, which can be used to build financial models and forecasts.

It is important to use basic concepts related to worksheet design, such as clear labelling, consistent formatting, and error checking, to ensure that models are accurate and easy to understand.

USEFUL FUNCTIONS

- **Linear forecast**
  Useful for creating a linear financial forecast based on historical data.
  The correct syntax for the formula is as follows: ***=FORECAST.LINEAR(X, known_ys, known_xs).***

- **Exponential forecasting**
  The function *FORECAST.ETS.X* enables you to create an exponential financial forecast based on historical data.
  The correct syntax for the formula is as follows:
  =FORECAST.ETS.X(target, independent, seasonality, data_completion, aggregation, parameters, x_values).

- **Regression forecast**